FALLEN EMPIRES

Breathometer: the deal sheet

Source-checked facts about one of Shark Tank's most unusual deals.

The pitch

- Show: Shark Tank US, Season 5 (listed as episode 2 by Shark Tank Blog).
- Product: Breathometer, a smartphone-connected breathalyzer. Founder: Charles Michael Yim.
- Ask: $250,000 for 10% (a $2.5M valuation).

The offers

- Mark Cuban: $500,000 for 20%.
- The Sharks then teamed up: $1,000,000 for 30% (a $3.3M valuation).
- Did all five fund it? Reports conflict. Cuban said in 2022 that he was the only one who funded it.

What the FTC said (January 2017)

- Devices: Original ($49) and Breeze ($99), sold 2013 to 2015.
- The FTC said readings were often inaccurate and the company lacked scientific evidence for its accuracy claims.
- The FTC put sales at $5.1 million; the settlement offered full refunds to buyers who asked.
- The company and its CEO were barred from making accuracy claims for a consumer breathalyzer without rigorous testing.

3 things this case shows

1. Claims about a product's accuracy need independent testing before they go in an ad.
2. A TV deal announced on air can differ from the money that actually arrives after due diligence.
3. Regulators look at what a company says in its marketing, not only at what it sells.

2 mistakes it illustrates

1. Marketing a device as "law enforcement grade" without evidence.
2. Keeping a product on the market after problems are known.

Glossary

- **Valuation**: the price of the whole company implied by a deal (money ÷ share bought).
- **Equity**: the percentage of the company an investor gets.
- **Settlement**: an agreement that ends a legal action without a trial.

Educational summary, not investment advice.

Sources: TechCrunch (2017-01-23); BuzzFeed News; AppleInsider (2017-01-24); sharktankblog.com/business/breathometer; Looper; Sportskeeda.

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